

[FOUNDER TOOLKIT] LEGAL & INCORPORATION TOOLKIT

Build it / on solid ground.

Legal foundations are invisible until they break — and then they break expensively, usually mid-fundraise. This is how to incorporate correctly, own what you create, and operate legally, so diligence is a formality, not a crisis.

HOW TO READ THIS TOOLKIT

Three layers / a diligence-ready house.

Most legal mistakes aren't dramatic — they're small things done late or skipped, that surface at Series A diligence when they're costly to fix. Set the **foundations** right, **protect what you own**, then **operate legally**. This is a founder's orientation, not legal advice — use it to know what to do and when, then work with a qualified startup lawyer.

LAYER 1	Set it up right	Foundations Entity & stock	Choose the entity · the incorporation stack & 83(b) · founder stock & vesting
LAYER 2	Own what you create	Protect what you own IP & data	IP assignment · IP strategy · data privacy & compliance
LAYER 3	Run it cleanly	Operate legally Contracts & people	Commercial contracts · employee vs. contractor · the diligence-ready house

LAYER 1 • SET IT UP RIGHT

Foundations.

How you incorporate, issue founder stock, and handle the first tax election shapes everything built on top. These choices are cheap and easy to get right on day one — and painful and expensive to fix later.

Choose the entity

The incorporation stack & 83(b)

Founder stock & vesting



TOOL 1.1 · CHOOSE THE ENTITY

Choose / the entity

The entity you form decides how you're taxed, how you raise, and how you're protected. For a venture-track startup the answer is well-established — but the timing and jurisdiction still trip founders up.

— WHAT IT IS

An entity gives the business a legal identity separate from you (limiting personal liability). The common early choice is an **LLC** — simple, cheap, pass-through tax — but venture investors almost always expect a **Delaware C-corporation**, because it makes issuing stock, options, and preferred shares clean and familiar. Many founders start as an LLC and **convert before raising**; venture-track teams often just form the C-corp from the start. Delaware is the default jurisdiction for its predictable corporate law, even if you operate elsewhere (you then “foreign qualify” in your home state).

— THE QUESTIONS IT ANSWERS

- ◇ Are we **venture-track** (C-corp) or staying lean (LLC may fit)?
- ◇ If LLC now, when do we **convert** — before raising?
- ◇ Does **Delaware** make sense, plus home-state qualification?
- ◇ Are we incorporating at the **right time** — not too early?

— WHAT "GOOD" LOOKS LIKE

- ✓ Entity matched to the funding path (C-corp if raising)
- ✓ Delaware C-corp before the first priced round
- ✓ Home-state foreign qualification handled if needed
- ✓ Incorporated when the business is real, not prematurely

— WHAT NOT TO DO — AND WHY

Incorporating too early — or in the wrong structure. Forming a C-corp before there's a real business creates compliance drag (franchise tax, filings, bookkeeping) and cost for a venture that may never exist. The opposite trap: staying an LLC into a fundraise, then scrambling to convert under deal pressure. And electing S-corp status by accident can

— ENTITY CHOICE

LLC	Simple, cheap — fine pre-raise
RAISING?	Investors expect Delaware C-corp
DEFAULT	Delaware C-corp (foreign-qualify at home)

Convert LLC→C-corp before you raise, not during the deal.

■ AEGIS E0

Aegis was venture-track from the outset — capital-intensive, raising a seed — so the founders formed a **Delaware C-corp** directly rather than starting as an LLC and converting under fundraise pressure later. They incorporated once the PMF sprint had produced real pull signals (the Munich Re MOU), not on day one of ideation — **real business first, then the entity**.

TOOL 1.2 · THE INCORPORATION STACK & 83(B)

The stack / & the 83(b)

Incorporating isn't one filing — it's a set of documents that must all be done right. And one of them, the 83(b) election, has a hard 30-day deadline that is brutally expensive to miss.

— WHAT IT IS

The standard “Silicon Valley stack”: **certificate of incorporation, bylaws, initial board consent, restricted stock purchase agreements** (issuing founder shares, with vesting), **EIN**, a **bank account**, and — critically — a **CIIAA/PIIA** (invention-assignment agreement) and an **83(b) election**. The **83(b)** tells the IRS to tax your founder shares now (when they're worth almost nothing) rather than as they vest — and it must be filed **within 30 days** of the stock purchase. Services (Stripe Atlas, Clerky) handle the filings, but you own the risk: make “83(b) done” a day-one task.

— THE QUESTIONS IT ANSWERS

- ◇ Do we have the **full document set**, not just the state filing?
- ◇ Is the **83(b)** filed within **30 days** of the stock purchase?
- ◇ Has every founder signed the **invention-assignment** agreement?
- ◇ Are EIN, bank account, and bookkeeping set up early?

— WHAT "GOOD" LOOKS LIKE

- ✓ The complete stack executed, not just incorporation
- ✓ 83(b) filed within 30 days — tracked, confirmed
- ✓ Invention assignment signed by all founders
- ✓ Clean records from day one (diligence-ready)

— WHAT NOT TO DO — AND WHY

Missing the 83(b) 30-day window. It's the single most costly day-one mistake: miss it and you owe ordinary income tax on your shares *as they vest* — potentially on large paper gains you can't sell — and it's generally not curable. “I'll do it later this week” is how it's missed. Treat it as a hard deadline, file by certified mail, keep proof. Even when a formation service “includes” it, verify it was actually filed.

Patrick Connolly

— THE INCORPORATION STACK

FORM	Certificate · bylaws · board consent
STOCK	Restricted stock purchase + vesting
IP	CIIAA / PIIA invention assignment
TAX	83(b) — within 30 days. Day-1 priority.
OPS	EIN · bank · bookkeeping

■ AEGIS E0

At incorporation Aegis ran the full stack, not just the certificate: bylaws, board consent, restricted stock purchase agreements with vesting, EIN, bank account — and each founder filed an **83(b) within the 30-day window** (tracked, certified, confirmed). The invention-assignment agreements were signed the same week. When the seed diligence came, **the formation file was clean** — a non-event instead of a fire drill.

TOOL 1.3 · FOUNDER STOCK & VESTING

Founder stock / & vesting

How founder shares are issued and vested protects the team and the cap table. This overlaps with the People & Equity toolkit — here it's the legal mechanics that make those decisions real.

— WHAT IT IS

Founders buy **restricted stock** at incorporation (cheap, since the company is worth almost nothing) and put it on a **vesting schedule** — standard is **4 years with a 1-year cliff**, with unvested shares returning to the company if a founder leaves. This is the legal instrument behind the People & Equity decisions: it protects the remaining founders from a free-rider departure and is exactly what investors expect to see. Issue founder stock **on day one** (to start the QSBS clock and keep the purchase price low), document it properly, and keep the cap table current and accurate.

— THE QUESTIONS IT ANSWERS

- ◇ *Is founder stock issued **day one**, with vesting in place?*
- ◇ *Standard **4-year / 1-year-cliff** on all founders?*
- ◇ *Do **unvested shares** return to the company on departure?*
- ◇ *Is the **cap table** accurate, current, and documented?*

— WHAT "GOOD" LOOKS LIKE

- ✓ Restricted stock issued early at a low price
- ✓ Vesting on all founders — investor-standard
- ✓ Clean cap table reflecting reality
- ✓ QSBS clock started by early issuance

— WHAT NOT TO DO — AND WHY

Issuing founder stock with no vesting — or issuing it late. No vesting means a co-founder who leaves after six months keeps their full stake while the others build all the value (the free-rider problem that wrecks cap tables and fundraises). Issuing stock late, after the company has value, can trigger a large tax bill on the purchase. Put vesting on

Patrick Connolly

— FOUNDER STOCK, DONE RIGHT

DAY 1	Issue restricted stock (price ~\$0)
VEST	4-year / 1-year cliff
LEAVE EARLY	Unvested shares return to company
CLOCK	Early issuance starts QSBS

■ AEGIS E0

The People & Equity work set Aegis's splits and vesting *policy*; this is where it became **legally real**. All three founders bought restricted stock at incorporation on identical **4-year / 1-year-cliff** terms, issued day one to start the QSBS clock and keep the price negligible. The cap table was clean and current — so the seed round's SAFE sat on a foundation with **no ownership ambiguity**.

LAYER 2 · OWN WHAT YOU CREATE

Protect / what you own.

For most startups the company's real value is intangible — code, brand, know-how, data. If you don't clearly own it and protect it, you don't really have a company. Investors check this first, and gaps here kill deals.

IP assignment

IP strategy

Data privacy & compliance

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TOOL 2.1 · IP ASSIGNMENT

IP / assignment

Make sure the company — not a founder, a freelancer, or a dev shop — owns everything it's built on. Unclear IP ownership is one of the fastest ways to kill a fundraising.

— WHAT IT IS

IP assignment legally transfers ownership of everything created *for* the company to the company. Founders assign their relevant prior and ongoing work via the **invention-assignment agreement** (CIIAA/PIIA) signed at incorporation. Every **employee and contractor** must sign one too — in many places, absent an explicit assignment, a contractor may *own what they built*. If you used a dev shop or freelancer early (common for the first MVP), clean this up **before fundraising**. The principle: a clear, unbroken chain showing the company owns 100% of its core technology and brand.

— THE QUESTIONS IT ANSWERS

- ◇ Have all **founders** assigned their relevant IP to the company?
- ◇ Does every **employee and contractor** sign an IP assignment?
- ◇ Did an early **dev shop or freelancer** build anything un-assigned?
- ◇ Is the ownership chain **clean** ahead of diligence?

— WHAT "GOOD" LOOKS LIKE

- ✓ Founder IP assigned at incorporation
- ✓ IP assignment in every employee + contractor contract
- ✓ Early dev-shop / freelancer IP cleaned up before raising
- ✓ An unbroken chain of ownership to the company

— WHAT NOT TO DO — AND WHY

Assuming you own what you paid for. Paying a freelancer or agency does not automatically transfer IP ownership — without an explicit assignment, they may legally own the code or designs you think are yours. Founders also forget to assign their *own* pre-incorporation work. These gaps surface in diligence and can halt or re-price a round,

— UNBROKEN OWNERSHIP CHAIN

FOUNDERS	Assign prior + ongoing work
EMPLOYEES	IP clause in every contract
CONTRACTORS	Must explicitly assign — or they own it
RESULT	Company owns 100%

■ AEGIS E0

Aegis's core value is its **integration code and compliance models** — so clean IP ownership was existential. Founders assigned all pre-incorporation work; the one early contractor who built a data connector signed an assignment *before* the seed process. By diligence, Aegis could show an **unbroken chain proving the company owned 100% of its technology** — no freelancer with a lingering claim on the crown jewels.

TOOL 2.2 · IP STRATEGY

IP / strategy

Owning your IP is step one; deciding how to protect it is step two. Patents, trademarks, copyright, and trade secrets each protect different things — match the tool to the asset and the stage.

— WHAT IT IS

Four instruments, different jobs. **Patents** protect inventions/processes (utility patent ~\$8.5–15k, design ~\$1.6k) — powerful but public and slow. **Trademarks** protect brand names and logos (~\$800–1,300 per class) — run a **knockout search** before committing to a name. **Copyright** covers original works like source code. **Trade secrets** protect confidential know-how (algorithms, processes) **indefinitely and for free** — as long as you keep them secret (NDAs, access controls) — making them ideal where a patent would just teach competitors how you work. Sequence spend to stage: clear the name pre-launch; protect core tech as you build; have clean, documented IP before fundraising.

— THE QUESTIONS IT ANSWERS

- ◇ What's genuinely **protectable** — tech, brand, content, data?
- ◇ **Patent** (public, defensible) or **trade secret** (private, indefinite)?
- ◇ Did we run a **knockout trademark search** before naming?
- ◇ Does spend align with **stage and fundraising** milestones?

— WHAT "GOOD" LOOKS LIKE

- ✓ The right instrument matched to each asset
- ✓ Trade secrets used for algorithms you don't want public
- ✓ Brand name cleared and trademarked
- ✓ IP spend sequenced to stage, not all at once

— WHAT NOT TO DO — AND WHY

Pitching publicly before filing — or patenting what should stay secret. Public disclosure before a patent filing can *destroy* your ability to patent it later; founders pitch the clever invention at a demo day and forfeit the right. Conversely, patenting a core algorithm

— FOUR INSTRUMENTS

PATENT	Inventions · public · \$8.5–15k
TRADEMARK	Brand · \$800–1,300/class
COPYRIGHT	Source code, content
TRADE SECRET	Algorithms · indefinite · keep secret

■ AEGIS E0

Aegis split its IP by instrument deliberately. The **compliance/integration models** — its real edge — were kept as **trade secrets** (NDAs, access controls), since a patent would have published the exact approach for carriers to copy. The **brand** was trademark-cleared and filed pre-launch. It avoided the classic trap: **no public disclosure of the core method before deciding how to protect it.**

TOOL 2.3 · DATA PRIVACY & COMPLIANCE

Data privacy / & compliance

If you touch personal data, privacy law isn't optional — and for a data-centric startup it can be the whole ballgame. Build compliance in from the start; retrofitting it is far harder.

— WHAT IT IS

Handling personal data brings you under privacy regimes — **GDPR** (EU, strict, fines up to 4% of global revenue), **CCPA/CPRA** (California), and others by market. The obligations: a lawful basis to process, data minimisation, security controls, honouring user rights (access, deletion), and clear privacy terms. For startups whose *thesis* is built on data, this isn't a checkbox — it's a core design constraint and often a real moat if you do it well. Beyond privacy, know your **sector regulation** (financial, health, etc.). Build **privacy by design** from the start; bolting it on after launch is painful and risky.

— THE QUESTIONS IT ANSWERS

- ◆ Do we touch **personal data** — and under which regimes (GDPR/CCPA)?
- ◆ Do we have a **lawful basis**, security, and user-rights handling?
- ◆ Is privacy **designed in**, or bolted on later?
- ◆ What **sector regulation** applies to our specific market?

— WHAT "GOOD" LOOKS LIKE

- ✓ Privacy obligations mapped to the data you actually hold
- ✓ Privacy-by-design, not a retrofit
- ✓ Clear privacy terms and user-rights processes
- ✓ Sector-specific regulation understood early

— WHAT NOT TO DO — AND WHY

Treating privacy as a launch-day checkbox. For a data startup, weak privacy isn't just fine risk — it can void the whole value proposition the moment an enterprise buyer's security review begins. Collecting data with no lawful basis, no deletion process, or no security controls invites fines (GDPR reaches 4% of global revenue) and dead deals.

— PRIVACY BY DESIGN

MAP	What personal data do we hold?
BASIS	Lawful basis + minimisation
PROTECT	Security + user-rights process
DESIGN IN	From the start, not a retrofit

GDPR fines reach 4% of global revenue.

■ AEGIS E0

For Aegis, privacy *was* the business: the entire thesis is **PII-compliant** handling of imagery tied to claim addresses — the exact wall in-house attempts kept failing. So compliance was a **core design constraint from day one**, not a retrofit, with GDPR built into the architecture. That's precisely what let Aegis clear the **DPO gatekeeper** that blocked everyone else — privacy done right was the moat.

LAYER 3 • RUN IT CLEANLY

Operate / legally.

Day-to-day operations generate legal exposure — contracts you sign, people you engage, records you keep. Run these cleanly and your company is investible and defensible; run them loosely and the mess compounds until diligence forces a reckoning.

Commercial contracts

Employee vs. contractor

The diligence-ready house

3

TOOL 3.1 · COMMERCIAL CONTRACTS

Commercial / contracts

The agreements you sign with customers, suppliers, and partners define your real obligations and risks. Use clear, consistent terms — especially the clauses that decide who's liable when something goes wrong.

— WHAT IT IS

Your **customer terms** (terms of service, MSA, order forms / SOWs) and **vendor and partner agreements** set what you owe and what you're owed. Watch the clauses that allocate risk: **liability caps**, **indemnification**, **data-processing terms** (a DPA where you handle personal data), **IP ownership** of deliverables, and **termination**. Use consistent base templates so you're not negotiating from scratch each time, and read what you sign — especially big-customer paper, which is written to favour them. For early pilots, a short, clear agreement beats a handshake; “we'll sort it later” becomes a dispute later.

— THE QUESTIONS IT ANSWERS

- ◇ Do we have **consistent base templates** for customer and vendor deals?
- ◇ Are **liability, indemnity, and IP** terms understood, not just signed?
- ◇ Is there a **data-processing agreement** where we handle personal data?
- ◇ Are even early **pilots** on a clear written agreement?

— WHAT "GOOD" LOOKS LIKE

- ✓ Standard templates for repeatable deal types
- ✓ Risk-allocation clauses read and understood
- ✓ DPAs in place wherever personal data flows
- ✓ Pilots and partnerships documented, not handshakes

— WHAT NOT TO DO — AND WHY

Signing whatever's put in front of you — or nothing at all. Accepting a big customer's paper unread can saddle you with unlimited liability or hand them rights to your IP. The opposite failure — running pilots and partnerships on goodwill with no written terms —

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— WATCH THESE CLAUSES

LIABILITY	Caps — avoid unlimited exposure
INDEMNITY	Who covers whom, for what
IP	Who owns deliverables
DATA	DPA where personal data flows
EXIT	Termination terms

■ AEGIS E0

Aegis's Munich Re pilot ran on a short, clear **MOU**, not a handshake — scope, data handling, and IP spelled out up front. Because carriers run hard security and legal reviews, Aegis came with consistent base terms and a proper **data-processing agreement** ready. When a big carrier sent its own one-sided paper, Aegis **read and negotiated the liability and IP clauses** rather than signing to close fast.

TOOL 3.2 · EMPLOYEE VS. CONTRACTOR

Employee / vs. contractor

Classifying someone as a contractor when they're legally an employee is a common, costly mistake — and the penalties fall on the company, not the worker. Know the test before you hire.

— WHAT IT IS

Whether someone is an **employee** or an **independent contractor** isn't your choice — it's determined by the working relationship. The IRS uses three lenses: **behavioural control** (do you direct how they work?), **financial control** (do you control the business side — tools, expenses, how they're paid?), and **relationship type** (written contracts, benefits, permanence?). The more control and permanence, the more they're an employee. Misclassification brings back-taxes, penalties, and benefit liabilities — all landing on the company. When in doubt, classify as an employee, and make sure **both** employees and contractors sign IP-assignment and confidentiality terms.

— THE QUESTIONS IT ANSWERS

- ◇ Do we control **how** the work is done (behavioural)?
- ◇ Do we control the **business side** — tools, pay, expenses (financial)?
- ◇ Is the **relationship** permanent, with benefits and a contract?
- ◇ Have we defaulted to **employee** when it's genuinely unclear?

— WHAT "GOOD" LOOKS LIKE

- ✓ Classification driven by the real relationship, not convenience
- ✓ The three control tests applied honestly
- ✓ Employee classification chosen when in doubt
- ✓ IP + confidentiality signed by employees and contractors alike

— WHAT NOT TO DO — AND WHY

Calling employees 'contractors' to save cost. Misclassification is tempting — no payroll taxes — but if the relationship looks like employment (you direct their work, it's ongoing, they use your tools), regulators will reclassify them and the company eats the

— THE IRS THREE-PART TEST

- BEHAVIOURAL Do you control *how* they work?
- FINANCIAL Do you control tools, pay, expenses?
- RELATIONSHIP Permanent? Benefits? Contract?
- IN DOUBT [Classify as employee](#)

■ AEGIS E0

Aegis kept this clean. Its early data connector was built by a genuine **independent contractor** — own tools, own hours, defined project — who signed an IP-assignment agreement. As the founders prepared to bring on their first **compliance/integration lead** (a directed, permanent, full-time role), they classified that person as an **employee** from the start, not a contractor, avoiding the misclassification trap before it could arise.

TOOL 3.3 · THE DILIGENCE-READY HOUSE

The diligence-ready / house

Everything in this toolkit converges on one outcome: when an investor or acquirer opens your files, everything is there, clean and consistent. A diligence-ready company raises faster and at better terms.

— WHAT IT IS

Legal diligence is where shortcuts surface. A **diligence-ready house** means the records are clean and complete: **formation docs** and board consents, an accurate **cap table**, all **83(b) elections**, a complete **IP-assignment** chain (founders, employees, contractors), **signed contracts**, **privacy/compliance** documentation, and clean **financial records**. Keep this current as you go — a living data room — rather than reconstructing it under deal pressure. Consistency matters as much as completeness: numbers and facts must match across every document. Use a qualified startup lawyer for the foundation; it's far cheaper than fixing it at Series A.

— THE QUESTIONS IT ANSWERS

- ◇ Could we open a **data room today** without scrambling?
- ◇ Are formation, cap table, 83(b), IP, and contracts all **complete**?
- ◇ Do the numbers and facts **match** across every document?
- ◇ Are we keeping it **current**, not reconstructing under pressure?

— WHAT "GOOD" LOOKS LIKE

- ✓ A living, current data room — not a last-minute rebuild
- ✓ Complete, consistent records across all categories
- ✓ Clean IP chain and cap table, no gaps
- ✓ Foundation set with proper legal counsel

— WHAT NOT TO DO — AND WHY

Leaving the cleanup until diligence starts. Reconstructing missing assignments, a messy cap table, or an unfiled 83(b) under deal pressure slows the raise, weakens your leverage, and can re-price or kill it — investors read sloppiness as risk. Inconsistent numbers (deck vs. records) erode trust instantly. The whole toolkit's payoff is here: do each

— THE DATA ROOM

CORPORATE	Formation, board consents, cap table
TAX	83(b) elections, filings
IP	Full assignment chain
COMMERCIAL	Signed contracts, DPAs
READY	Current + consistent = fast raise

■ AEGIS E0

Because Aegis had done each layer in order — clean C-corp, tracked 83(b)s, an unbroken IP chain, privacy-by-design, documented pilots — its seed diligence was **a formality, not a fire drill**. The data room was already current: formation, cap table, IP, contracts, GDPR docs, financials, all consistent. That readiness **moved the round faster and protected the founders' leverage** on terms.

PUTTING IT TOGETHER

Boring, done right / is a moat.

Legal foundations are unglamorous and easy to defer — which is exactly why getting them right early is an advantage. Incorporate cleanly, own and protect what you create, and operate on clear terms. Each piece is cheap on day one and expensive at Series A. A diligence-ready company raises faster, at better terms, with less drama.

Layer 1

Foundations

Delaware C-corp when raising, the full incorporation stack, 83(b) within 30 days, founder stock with vesting.

Layer 2

Protect

Own all IP via assignment, protect it with the right instrument, and build privacy in from the start.

Layer 3

Operate

Clear contracts, correct worker classification, and a living data room that's always diligence-ready.

Note

Not legal advice

This is a founder's orientation. Use it to know what to do and when — then work with a qualified startup lawyer.

THE EVIDENCE BASE

Sources / & further reading.

This toolkit is a founder's orientation, not legal advice. Laws vary by jurisdiction and change over time; use this to understand what to do and when, then work with a qualified startup lawyer for your specific situation. It draws on established startup-law practice and primary sources (IRS, USPTO, GDPR/CCPA). It connects to People & Equity (vesting), Fundraising (SAFEs, diligence), and GTM (commercial contracts). Aegis EO is a fictional teaching venture.

The Silicon Valley incorporation stack

Westaway; Cooley GO; standard practice: certificate, bylaws, board consent, restricted stock purchase agreements, CIIAA/PIIA, 83(b).

The 83(b) election

IRS §83(b); Stripe Atlas. File within 30 days of stock purchase; generally not curable if missed — a day-one priority.

IP assignment

Cooley GO; startup counsel: founders, employees, and contractors must all assign IP; clean up dev-shop/freelancer IP before fundraising.

Data privacy

GDPR (fines up to 4% of global revenue); CCPA/CPRA. Privacy-by-design; a core constraint for data-centric startups.

Commercial contracts

Standard practice: liability caps, indemnification, IP of deliverables, DPAs, termination; consistent templates; read big-customer paper.

Delaware C-corp vs. LLC

SeedLegals, Stripe Atlas, Clerky: LLC simple early; investors expect a Delaware C-corp; convert before raising.

Founder stock, vesting & QSBS

Startup law practice (Joe Wallin / The Startup Law Blog): restricted stock, 4-yr/1-yr-cliff vesting, issue early to start the §1202 QSBS clock.

IP strategy & costs

USPTO; IP-strategy practice: trademark ~\$800–1,300/class, design patent ~\$1.6k, utility patent ~\$8.5–15k; trade secrets indefinite if kept secret.

Employee vs. contractor

IRS three-part test: behavioural control, financial control, relationship type. Misclassification penalties fall on the company.

Diligence readiness

a16z data-room guidance; startup counsel: keep a current, consistent data room; foundation mistakes are far cheaper to avoid than to fix at Series A.